

5.1 Key figures from the consolidated financial statements for the year ended 30 June 2024

5.1.1 Income statement

€ millions	30.06.2023	30.06.2024
Net sales	12,137	11,598
Gross margin after logistics expenses	7,246	6,975
Advertising and promotion expenses	(1,939)	(1,872)
Contribution after advertising and promotion expenses	5,307	5,103
Profit from recurring operations	3,348	3,116
Operating profit	3,265	2,724
Financial income/(expense)	(327)	(437)
Corporate income tax	(651)	(766)
Share of net profit/(loss) of associates and net profit of held for sale activities	(4)	(7)
NET PROFIT	2,283	1,514
Of which:		
Non-controlling interests	21	38
Attributable to Group shareholders	2,262	1,476
EARNINGS PER SHARE – BASIC (€)	8.84	5.84
EARNINGS PER SHARE – DILUTED (€)	8.81	5.83

5.1.2 Balance sheet

€ millions	30.06.2023	30.06.2024
ASSETS		
Non-current assets	25,667	25,725
<i>Of which intangible assets and goodwill</i>	<i>19,000</i>	<i>19,040</i>
Current assets	12,008	13,065
Assets held for sale	1	395
TOTAL ASSETS	37,676	39,185
LIABILITIES AND SHAREHOLDERS' EQUITY		
Consolidated shareholders' equity	16,715	16,797
Non-current liabilities	14,026	15,146
Current liabilities	6,935	7,091
Liabilities related to assets held for sale	—	151
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	37,676	39,185

5.1.3 Net debt

€ millions	30.06.2023	30.06.2024
Gross non-current debt	9,851	11,040
Gross current debt	1,536	2,130
Non-current derivative instruments – assets	(3)	—
Current derivative instruments – assets	—	—
Non-current derivative instruments – liabilities	14	10
Current derivative instruments – liabilities	—	6
Cash and cash equivalents	(1,609)	(2,683)
NET DEBT EXCLUDING LEASE LIABILITIES	9,789	10,503
Lease liabilities	484	448
NET DEBT	10,273	10,951
Free cash flow ⁽¹⁾	1,431	963

(1) The calculation of free cash flow is set out in Note 5.3 – Net debt to the management report.

5.1.4 Cash flow statement

€ millions	30.06.2023	30.06.2024
Self-financing capacity before interest and taxes	3,543	3,378
Net interest paid	(288)	(336)
Net income tax paid	(654)	(547)
Decrease/(increase) in working capital requirement	(568)	(768)
Net change in cash flow from operating activities	2,033	1,727
Net change in cash flow used in investing activities	(1,731)	(676)
Net change in cash flow used in financing activities	(1,117)	(209)
Cash flows from discontinued operations	—	—
Translation differences	(103)	232
CASH AND CASH EQUIVALENTS AT BEGINNING OF PERIOD	2,527	1,609
CASH AND CASH EQUIVALENTS AT END OF PERIOD	1,609	2,683

5.2 Analysis of business activity and results

- FY 2024 organic net sales broadly stable (up by around 2% excluding Russia), as strong performances in many mature and emerging markets largely offset a still-normalising United States and challenging China.
- Sequential volume recovery throughout H2 in most markets.
- Pricing, operational efficiencies and cost discipline leading to organic gross margin and organic operating margin expansion of 108 bps and 80 bps.
- Investing in brand desirability and sustainable long-term growth with a sharp and consistent A&P policy and an acceleration in strategic investments.
- Continuing active portfolio management, notably with disposals of some Strategic Local Brands and the announcement of the disposal of Strategic Wine Brands.

5.2.1 Presentation of results

5.2.1.1 Net profit from recurring operations, Group share and per share – diluted

€ millions	30.06.2023	30.06.2024
Profit from recurring operations	3,348	3,116
Financial income/(expense) from recurring operations	(291)	(417)
Corporate income tax on recurring operations	(691)	(646)
Non-controlling interests, net profit of discontinued and held for sale activities and share of net profit of associates	(25)	(53)
GROUP SHARE OF NET PROFIT FROM RECURRING OPERATIONS⁽¹⁾	2,340	2,000
GROUP SHARE OF NET PROFIT FROM RECURRING OPERATIONS PER SHARE – DILUTED (€)	9.11	7.90

(1) Profit from recurring operations after taking into account financial income and expenses from recurring operations, corporate income tax on recurring operations, the share of net profit or loss of associates, and net profit of discontinued and held for sale activities.

5.2.1.2 Profit from recurring operations

Group						
€ millions	30.06.2023	30.06.2024	Reported growth		Organic growth ⁽¹⁾	
Net sales	12,137	11,598	(539)	-4.4%	(150)	-1.2%
Gross margin after logistics expenses	7,246	6,975	(271)	-3.7%	37	0.5%
Advertising and promotion expenses	(1,939)	(1,872)	68	-3.5%	59	-3.1%
Contribution after advertising and promotion expenses	5,307	5,103	(203)	-3.8%	97	1.8%
PROFIT FROM RECURRING OPERATIONS	3,348	3,116	(232)	-6.9%	53	1.5%

(1) Organic growth: growth at constant exchange rates and scope of consolidation.

Americas						
€ millions	30.06.2023	30.06.2024	Reported growth		Organic growth ⁽¹⁾	
Net sales	3,481	3,340	(141)	-4.1%	(159)	-4.6%
Gross margin after logistics expenses	2,220	2,162	(58)	-2.6%	(33)	-1.5%
Advertising and promotion expenses	(686)	(669)	17	-2.5%	57	-8.3%
Contribution after advertising and promotion expenses	1,534	1,493	(41)	-2.7%	23	1.5%
PROFIT FROM RECURRING OPERATIONS	965	878	(87)	-9.0%	(6)	-0.6%

(1) Organic growth: growth at constant exchange rates and scope of consolidation.

Asia/Rest of the World						
€ millions	30.06.2023	30.06.2024	Reported growth		Organic growth ⁽¹⁾	
Net sales	5,191	4,973	(218)	-4.2%	167	3.2%
Gross margin after logistics expenses	2,969	2,851	(117)	-4.0%	155	5.1%
Advertising and promotion expenses	(740)	(678)	62	-8.4%	13	-1.8%
Contribution after advertising and promotion expenses	2,229	2,173	(55)	-2.5%	168	7.4%
PROFIT FROM RECURRING OPERATIONS	1,516	1,461	(55)	-3.6%	132	8.4%

(1) Organic growth: growth at constant exchange rates and scope of consolidation.

Europe						
€ millions	30.06.2023	30.06.2024	Reported growth		Organic growth ⁽¹⁾	
Net sales	3,465	3,285	(180)	-5.2%	(158)	-4.6%
Gross margin after logistics expenses	2,057	1,962	(95)	-4.6%	(84)	-4.1%
Advertising and promotion expenses	(513)	(525)	(12)	2.3%	(11)	2.2%
Contribution after advertising and promotion expenses	1,544	1,437	(107)	-6.9%	(95)	-6.2%
PROFIT FROM RECURRING OPERATIONS	867	777	(90)	-10.4%	(74)	-8.6%

(1) Organic growth: growth at constant exchange rates and scope of consolidation.

5.2.2 Organic net sales growth of Strategic International Brands

In millions of 9-litre cases	Volumes	Volumes	Organic growth ⁽¹⁾ in net sales	Of which volume growth	Of which price/mix effect
	30.06.2023	30.06.2024			
Absolut	12.7	12.0	-1%	-5%	+4%
Jameson	10.7	10.7	+1%	0%	+1%
Ballantine's	8.8	8.8	+1%	0%	+1%
Chivas Regal	5.1	4.7	-1%	-6%	+5%
Ricard	4.4	4.3	+3%	-2%	+4%
Malibu	4.7	4.4	-4%	-6%	+2%
Havana Club	4.3	3.5	+8%	-17%	+26%
Beefeater	3.7	3.3	-8%	-10%	+2%
Martell	2.4	2.2	-10%	-11%	+1%
The Glenlivet	1.6	1.4	-6%	-12%	+6%
Mumm	0.6	0.5	-12%	-14%	+2%
Royal Salute	0.3	0.2	+5%	-7%	+12%
Perrier-Jouët	0.3	0.3	+2%	-6%	+8%
STRATEGIC INTERNATIONAL BRANDS	59.5	56.5	-3%	-5%	+2%

(1) Organic growth is defined on page 222.

FY 2024 net sales totalled €11,598 million, an organic decline of 1% (down 4% as reported), with a negative FX impact mainly linked to the Argentinian peso, Turkish lira, US dollar, Chinese yuan and Indian rupee.

By region:

- **Americas, down 5%:**

- **United States, down 9%**, with a Spirits market that continues to normalise. In a still elevated interest rate environment, further inventory adjustments expected in FY 2025, leading to an anticipated decline in Q1,
- Canada broadly stable, with strong RTD growth; market share gains,
- Brazil up slightly, with a favourable basis of comparison and a consumer demand recovery in H2; market share gains,
- Mexico up slightly, with an unfavourable basis of comparison and a soft tourism season; market share gains;

- **Asia-RoW, up 3%:**

- **China, down 10%**, with a challenging macro-economic environment and continuing weak consumer sentiment impacting demand. Stable sales of Martell Noblige, good performance on Premium International Brands Absolut, Jameson, Olmeca and Beefeater. A strong decline expected in Q1, with subdued trade sentiment ahead of the FY 2025 Mid Autumn Festival, contrasting with much stronger consumer sentiment last year in Q1,
- **India, up 6%**, with a very solid, broad-based and accelerating performance underpinned by strong consumer demand,

- Very good growth in Japan and the Taiwan market, with market share gains; decline in South Korea in both net sales and market share,
- Very strong results in Africa and the Middle East, notably in Turkey with an outstanding performance on Chivas, and in Nigeria,
- Flat net sales in South Africa amid difficult macro-economic conditions;
- **Europe, down 5%**, with a solid performance in Europe excluding Russia (up 2%), with strong performances notably in Germany and Poland;
- **Global Travel Retail, up 2%**, full year sales growth with a soft H1 impacted by protracted sales negotiations, and good growth in H2. Passenger numbers fully normalised with the exception of the ongoing recovery of Chinese travellers.

By category:

Jameson continued its international expansion, Absolut saw dynamic growth in Asia-ROW and Europe, Scotch Brands were negatively impacted by the United States and China.

- **Strategic International Brands, down 3%**
- **Strategic Local Brands, up 5%**
- **Specialty Brands, down 2%**
- **Strategic Wine Brands, down 9%**

Our overall portfolio recorded mid-single digit price increases, with slightly lower volumes and an adverse market mix.